Rexel

Should an investor acquire a stake?

Valuation of a listed company – listed peers, DCF and LBO bid

€34.47	€43–46	+25–35%
Share price, 30 Oct 2026	Target range per share	Upside – BUY

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Executive summary – Buy: three methods converge 10–45% above a share price depressed by deal overhang

BUY – acquire a stake

Target €43–46 per share (+25% to +35%), DCF and peers equally weighted; the LBO-implied maximum bid is €37.6 per share.

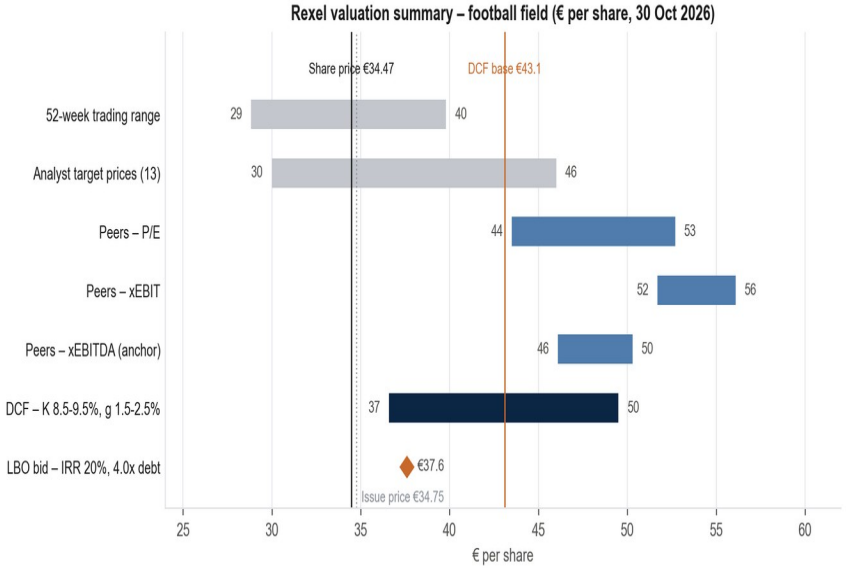
€34.47

Share price 30 Oct 2026, below the €34.75 issue price

€43.1

DCF base case – WACC 8.9%, g 2.0% (+25%)

Method	€ / share	Weight	Contribution
DCF base case	43.1	50%	21.6
Peers xEBITDA FY+1 (median)	48.4	50%	24.2
Target price (rounded range €43–46)	**45.8**		**+33%**
LBO max. bid at 20% IRR	37.6	–	+9%



Source: team model (Comps, DCF, LBO sheets), Yahoo Finance targets. Peers: Wesco, Grainger, Ferguson, Watsco, Bunzl (median to average). xSales omitted (not meaningful: margin gap).

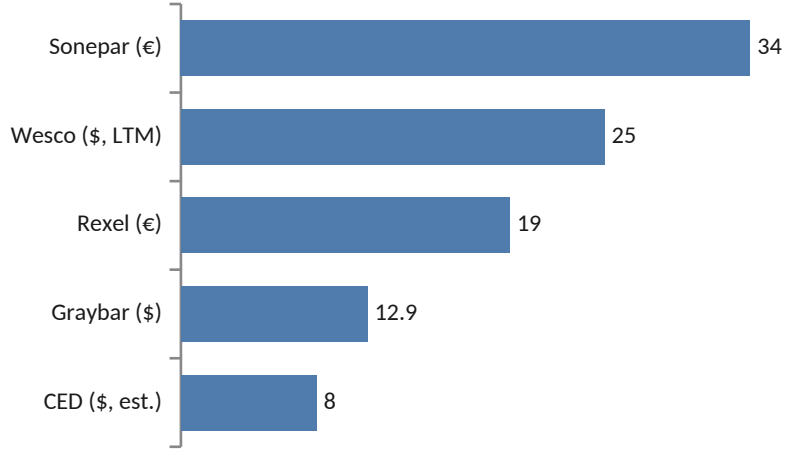
Market cap	Net debt + min.	EV	EV / EBITDAaL 26e	EV / adj. EBITA 26e	P/E 26e	Dividend yield	FCF yield 26e
€10.6bn	**€2.8bn**	**€13.5bn**	**9.8x**	**10.3x**	**14.9x**	**3.5%**	**4.8%**

Market-implied: 9.8x 2026e EBITDA after leases vs 13–14x for US distributors – a European discount that the fundamentals (best growth since 2022, margin on the way to 7%) do not justify.

Market overview – a consolidating distribution market with structural electrification tailwinds

Largest electrical distributors – latest annual sales (bn)

Addressable market c.€320bn (Rexel URD 2025): €220bn core distribution, slow growth + €100bn faster-growing adjacencies



US electrical distribution	Share
Top-5 national chains (Wesco, Sonepar, Graybar, Rexel, CED)	≥ 46%
Top-10 distributors	c. 56%
Top-20 distributors	c. 64%
Distributors acquired 2021–2025	125+

Demand drivers

1 Data centres & AI

Triple-digit growth at Rexel US in Q3 2026; 13% of US sales, 25% of US backlog. Wesco data-centre sales +45% y/y.

2 Energy transition

HVAC, solar and EV charging > 20% of Rexel's European sales, +13% in Q3 2026; electrification plans and energy-price volatility.

3 Grid & industrial automation

Utility capex, reshoring and industrial projects; industrial automation +20% at Rexel US in Q3.

Risks

Residential construction remains weak; data centres support non-residential demand, while automation drives industrial growth. Risks: copper prices, competition and interest rates.

Sources: Rexel FY 2025 and Q3 2026 releases, 2025 URD (§1.3.2); Sonepar FY 2025; Wesco LTM (Yahoo Finance); Electrical Wholesaling 2026 Electrical Pyramid; Axia Growth distribution M&A 2026.

Competitive landscape – Rexel is the #2 global distributor; Sonepar is the only rival of comparable reach

	Company	Ownership	Sales	Countries	Positioning
sonepar Powered by Difference	Sonepar	Private (family)	€33.6bn	40	#1 worldwide; US #1 via Sonepar USA; 'Spark' digital programme
wesco	Wesco	Listed (NYSE)	$25.0bn	c.50	US-centric; data-centre, utility and datacom supply chain
Rexel	**Rexel**	**Listed (Euronext)**	**€19.4bn**	**17**	**#2 worldwide; #1 France; <5% US market share (2024); value-added services, GCG**
GraybaR	Graybar	Private (employees)	$12.9bn	US/Canada	Electrical, comms and data networking, US #3
CED	CED	Private	c.$8bn	US	Decentralised branch model, 700+ locations
WÜRTH	Würth	Private (family)	€20.7bn group	80+	DACH electrical wholesale; group also active in fastening and assembly materials

Scale matters: purchasing terms, logistics density and digital investment favour the top five, which keep gaining share from the long tail – the source of Rexel's 2–3 pts of annual M&A growth.

How Rexel competes

- **Value-added services:**

moving upstream (engineering, kitting, project support); GCG brings >75% value-added content.

- **Digital:**

36% of Q3 2026 sales online (44% in Europe); AI tools lifted North America by +600 bp y/y.

- **High-growth verticals:**

data centres, utilities, automation; North American backlog > $3bn (+42% vs end-2025).

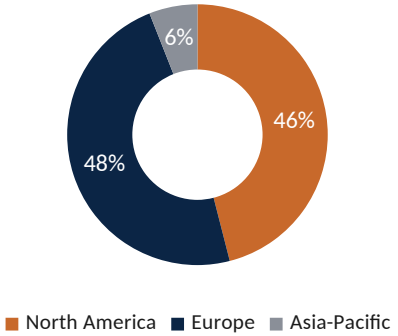
- **Bolt-on M&A:**

four North American deals in 2026 (TC 360, Revere, DEE, GCG); 2–3 pts of growth a year.

Sources: company reports (Sonepar, Wesco, Rexel, Graybar, Würth); Rexel Q3 2026 presentation and GCG release; Rexel France (2025); Moody's Ratings (2025); MDM Top Distributors (2026); CED: trade press estimates. Logos: company trademarks.

Rexel at a glance – €19.4bn of sales, 1,876 branches in 17 countries, repositioning toward high-growth segments

Sales by geography, FY 2025



Segment	Sales €m	Adj. EBITA %
North America	8,907	7.3%
Europe	9,403	5.7%
Asia-Pacific	1,105	1.1%
Group	**19,415**	**6.0%**

Key figures (€m)

	2022	2023	2024	2025	H1 26
Sales	18,702	19,153	19,285	19,415	9,989
Reported EBITDA	1,681	1,582	1,516	1,553	835
Adj. EBITA (margin)	n.a.	n.a.	1,137 (5.9%)	1,158 (6.0%)	615 (6.2%)
Net income	922	775	341	591	342
Diluted EPS (€)	3.04	2.57	1.13	1.99	–
Net financial debt	–	–	2,484	2,631	3,322
Net debt / EBITDAaL	–	–	–	2.0x	2.4x

2024 net income hit by the €124m French Competition Authority fine; 2025 operating income €1,062m (+26%).

Business

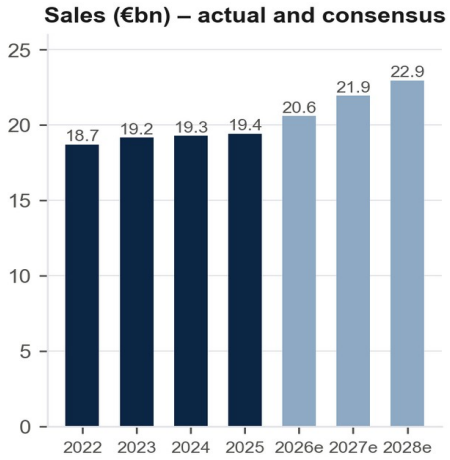
- Multichannel B2B distributor, spun out of PPR in 2005 and listed since 2007; CEO Guillaume Texier (since 2021) has accelerated its shift toward electrification and higher-growth segments.
- Warehouse sales 81%, direct 19%; cables c.16%; digital 36% of Q3 2026 sales.
- Free float 74%, Cevian Capital 23%, employees 1%; Ba1 / BB+ stable.

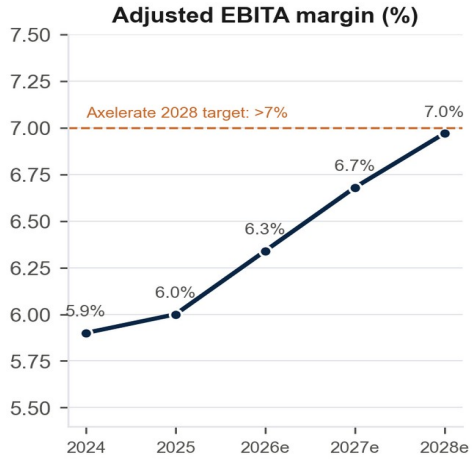
Strategy – Axelerate 2028

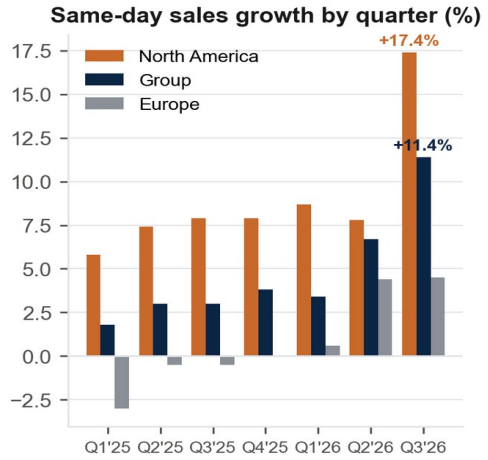
- Sales growth 5–8% a year (M&A 2–3 pts); adj. EBITA margin > 7%; FCF conversion c.65%; payout ≥ 40%.
- 2026 guidance, raised twice: growth c.7%, margin ≥ 6.4%, FCF conversion > 65%.
- GCG (Chicago): $1.4bn EV, > $1.1bn sales, c.11% EBITA margin, < 8x EBITDAaL post synergies, closing end-2026.

Sources: Rexel FY 2025 release and financial statements, H1 2026 and Q3 2026 releases, GCG release, shareholding page (31 Dec 2025); 2022–23 Yahoo Finance.

Financial performance – growth is accelerating and margins are climbing toward the 7% ambition







Source: Rexel FY 2025 and Q3 2026 releases (S1, S4), consensus collected by Rexel 15 Oct 2026 (S2); 2022-23 sales Yahoo Finance (S10). Q1-Q2 2025 growth read from the Q3 2026 presentation chart.

+11.4%

Q3 2026 same-day sales growth, best quarter since 2022 (US +18.2%)

6.0% → 6.4%

Adjusted EBITA margin FY 2025 → 2026 guidance floor (consensus 7.0% in 2028)

66%

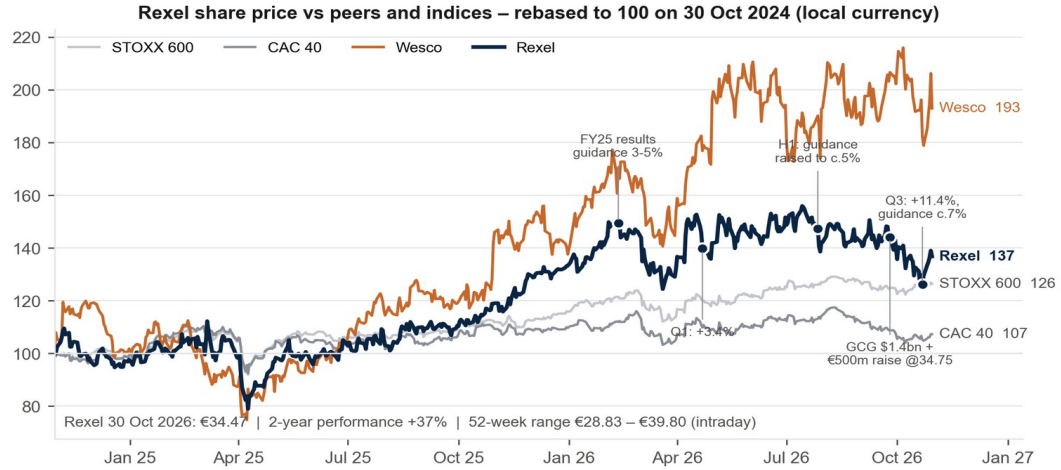
FCF conversion 2025 (76% ex €124m fine); > 65% guided

2.4x

Net debt / EBITDAaL at June 2026; c.2.0x from 2027 after the €500m raise

Sources: Rexel FY 2025, H1 2026 and Q3 2026 releases; consensus collected by Rexel (15 Oct 2026). 2022–23 sales from Yahoo Finance.

Stock market performance – strong results, weak share: Rexel has derated since the GCG deal and the capital increase



Source: Yahoo Finance daily closes (S10); Rexel press releases for events (S1, S3, S4, S6, S7). Price return, local currency.

Reading

- +37% over two years vs +93% for Wesco and +7% for the CAC 40: Rexel has captured the electrification theme, but far less than its US peer.
- Since the GCG announcement (25 Sep) the share has fallen below the €34.75 placement price, despite the Q3 beat (sales 4.8% above consensus).
- Sell-side: Buy consensus, 13 analysts, mean target €41.9 (range €30–46).
- Beta 1.25 (2-year weekly vs CAC 40); 0.98 on Yahoo (5-year monthly).

Share data and enterprise value build-up (30 Oct 2026)

Price	52-week	Shares out.	Market cap	+ Net debt	+ Minorities	= EV	EV / EBITDAaL 25A	EV / EBITDAaL 26e	EV / adj. EBITA 26e
€34.47	€28.83–39.80	308.5m	€10,634m	€2,822m	€12m	€13,467m	11.0x	9.8x	10.3x

Shares: 296,997,254 + 14,388,490 placed at €34.75 (29 Sep 2026) – 2,890,248 treasury. Net debt: €3,322m at 30 June 2026 less €500m proceeds. EBITDAaL 2025A €1,227m, 2026e €1,379m.

Sources: Yahoo Finance daily closes (price return, local currency); Rexel press releases for events and share count; analyst targets per Yahoo Finance, 30 Oct 2026.

Listed peers – five B2B distributors; Rexel trades 2–4 turns below the sector median on every multiple

Company	Mkt cap (bn)	Net debt (bn)	EV/ EBITDA LTM	EV/ EBITDA FY+1	EV/EBIT LTM	EV/EBIT FY+1	P/E LTM	P/E FY+1
Wesco (US)	$16.7	$5.2	13.8x	12.4x	16.2x	14.6x	23.5x	16.4x
Grainger (US)	$64.2	$1.9	21.9x	19.5x	23.9x	21.4x	34.3x	26.6x
Ferguson (US/UK)	$46.2	$3.5	13.9x	12.9x	15.6x	14.4x	19.6x	18.8x
Watsco (US)	$10.9	$0.1	15.5x	13.4x	16.5x	14.2x	23.0x	23.6x
Bunzl (UK)	£8.9	£1.6	8.8x	8.3x	13.2x	12.5x	19.4x	14.5x
Sector median			**13.9x**	**12.9x**	**16.2x**	**14.4x**	**23.0x**	**18.8x**
Sector average			**14.8x**	**13.3x**	**17.1x**	**15.4x**	**24.0x**	**20.0x**
Rexel at market	**€10.6**	**€2.8**	**11.0x**	**9.8x**	**11.6x**	**10.3x**	**15.7x**	**14.9x**

EV = market cap + net debt (Yahoo Finance, 30 Oct 2026). US GAAP peers expense operating leases above EBITDA, so Rexel is measured on EBITDA after leases (EBITDAaL) and adjusted EBITA, with lease liabilities excluded from net debt. FY+1 EBITDA/EBIT for peers = next-year revenue consensus × LTM margin; FY+1 net income = consensus EPS. Rexel aggregates: 2025A and consensus 2026e (13 brokers, Oct 2026).

Implied value of Rexel (€ per share)

xEBITDA – anchor	**46 – 50**
xEBIT	52 – 56
P/E	43 – 53
xSales	77 – 95 (n.m.)

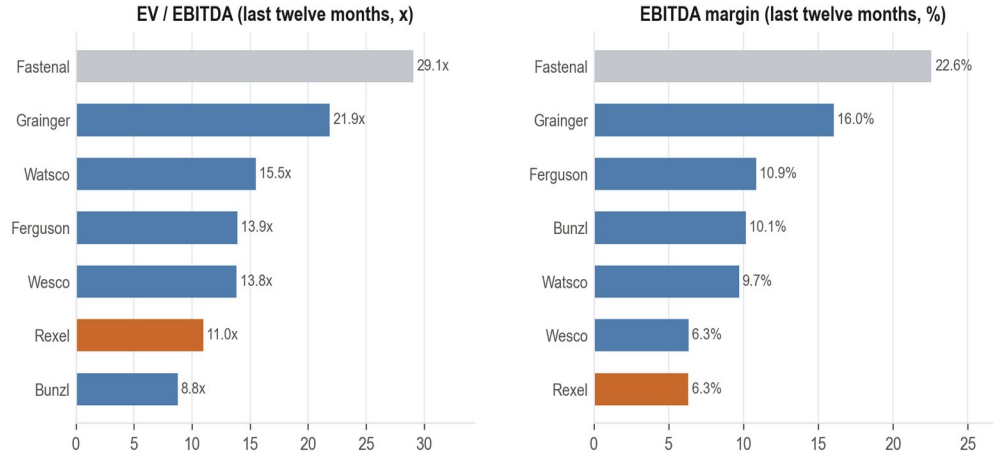
Worked example (xEBITDA FY+1, median): 12.9x × €1,379m = €17,766m EV; – €2,833m net debt and minorities = €14,933m equity; ÷ 308.5m shares = €48.4.

Sample

Listed B2B distributors with comparable models: electrical (Wesco), MRO (Grainger), plumbing/HVAC (Ferguson, Watsco), consumables (Bunzl). Sonepar and Graybar, the closest comparables, are private. Fastenal (29x EBITDA), Legrand and Schneider (manufacturers) are excluded.

Sources: Yahoo Finance (30 Oct 2026), company reports, Rexel consensus (15 Oct 2026). Model: Comps sheet. Logos are company trademarks.

Reading the multiples – xEBITDA is the anchor; the sales multiple is meaningless and the discount is a listing discount



Source: Yahoo Finance (S10), 30 Oct 2026; Rexel FY 2025 release (S4). US peers report EBITDA after operating-lease cost (comparable to Rexel's EBITDAaL). Rexel: EBITDA after leases, net debt pro forma the €500m raise. Fastenal (light grey) excluded from the peer averages.

Implied equity (€m) and € per share	Sector median	Sector average
xEBITDA LTM: 13.9x × 1,227 – 2,833	14,229 → €46.1	15,293 → €49.6
xEBITDA FY+1: 12.9x × 1,379 – 2,833	14,932 → €48.4	15,520 → €50.3
xEBIT FY+1: 14.4x × 1,305 – 2,833	16,017 → €51.9	17,305 → €56.1
P/E FY+1: 18.8x × 713	13,410 → €43.5	14,250 → €46.2

Sources: Yahoo Finance LTM figures, 30 Oct 2026; Rexel FY 2025 release and consensus. Model: Comps sheet (median and average of the five peers).

Why the multiples disagree

- **xSales overvalues Rexel (€77–95).**

Peers earn 10–23% EBITDA margins on each euro of sales; Rexel earns 6%. A sales multiple built on richer margins has no meaning here.

- **xEBIT above xEBITDA.**

Rexel's D&A after leases is only 6% of EBITDAaL (asset-light, leases already deducted), lower than peers', so an EBIT multiple flatters it slightly.

- **P/E is wide (€43–53).**

Net income is after interest and tax: Rexel's 2.4x leverage and 30% 2025 tax rate are not comparable with net-cash US peers.

- **Keep xEBITDA: €46–50.**

Same margin as Wesco, three turns cheaper: the gap is a European listing and growth-history discount, widened by deal overhang, not an operating gap.

DCF assumptions – Rexel's own broker consensus to 2028, soft landing to 2% growth, WACC of 8.9%

Discount rate

Input	Value	Source / rationale
Risk-free rate (rf)	4.13%	50% Bund 3.33% + 50% UST 4.94%
Market risk premium	5.0%	Damodaran, France, Jan 2026
Beta (b)	1.20	2-yr regression 1.25; Yahoo 0.98
Cost of equity k = rf + b·MRP	10.1%	CAPM
Cost of debt i = rf + spread	5.6%	150 bp spread (Ba1 / BB+)
Tax rate (t)	27%	Normative (2025: 30% with surtax)
D / (D + E) at market	21.0%	€2.8bn / (€2.8bn + €10.6bn)
WACC = k·E/V + i(1–t)·D/V	**8.87%**	**Rexel impairment tests: 8.4–9.8%**
Perpetual growth g	**2.0%**	**Rexel uses 1.9–2.2%**

Cross-check (course method, Modigliani–Miller)

Step	Formula	Value
Unlevered beta b*	b / (1 + D(1–t)/E) = 1.20 / 1.194	1.00
Unlevered cost r	rf + b*·MRP	9.16%
k (MM)	r + (r – i)(1–t)·D/E	9.85%
K (MM)	r · (1 – D·t / (D+E))	8.64%

Free cash flow build (€m)

	2026e	2027e	2028e	2029e	2030e	2031e	2032e
Sales	20,578	21,938	22,949	23,857	24,645	25,299	25,805
growth	*+6.0%*	*+6.6%*	*+4.6%*	*+4.0%*	*+3.3%*	*+2.7%*	*+2.0%*
Adj. EBITA (EBIT)	1,305	1,466	1,599	1,662	1,717	1,763	1,798
margin	*6.3%*	*6.7%*	*7.0%*	*7.0%*	*7.0%*	*7.0%*	*7.0%*
– Tax at 27%	(352)	(396)	(432)	(449)	(464)	(476)	(485)
= NOPAT	953	1,070	1,167	1,213	1,254	1,287	1,313
+ D&A	74	73	70	73	75	77	79
– Capex	(144)	(154)	(161)	(140)	(120)	(99)	(79)
– Δ WCR	(165)	(193)	(143)	(129)	(112)	(93)	(72)
= Free cash flow	**718**	**797**	**933**	**1,017**	**1,097**	**1,172**	**1,241**
Discount period (yrs)	*0.17*	*1.17*	*2.17*	*3.17*	*4.17*	*5.17*	*6.17*
Discount factor	*0.986*	*0.905*	*0.832*	*0.764*	*0.702*	*0.644*	*0.592*
Present value	**708**	**721**	**776**	**777**	**770**	**755**	**735**

2026–28: consensus mean collected by Rexel (13 brokers, 5–13 Oct 2026, excl. GCG, before the 22 Oct guidance raise). 2029–32: growth converges linearly to g; EBITDAaL margin frozen at 7.3%; capex converges to D&A; WCR 14.2% of sales (2025 financial balance sheet).

Sources: Rexel consensus (15 Oct 2026), 2025 financial statements (note 12), Trading Economics (30 Oct 2026), Damodaran. Model: DCF sheet.

DCF result – €43 per share, 25% above the market; above the price across the whole reasonable grid

From free cash flows to value per share (€m)

	€m
Sum of discounted FCF 2026–2032	5,242
Terminal value = 1,241 × 1.02 / (8.87% – 2.0%)	18,423
Discount factor 2032: 1 / 1.0887^6.17	0.592
Discounted terminal value (68% of EV)	10,905
Enterprise value	**16,147**
– Net debt pro forma – minorities	(2,833)
Equity value	**13,314**
÷ Shares outstanding (m)	308.5
Value per share	**€43.2**
Upside vs €34.47	**+25%**

Sanity checks	Value
Implied EV / EBITDAaL 2026e (market 9.8x, peers 12.9x)	11.7x
Implied exit multiple TV / EBITDAaL 2032	9.8x
WACC implied by the share price (g = 2%)	c. 10.0%
Sell-side mean target	€41.9

DCF value per share (€) – sensitivity to K and g (base: K 8.9%, g 2.0% → €43)

Perpetual growth g \ Cost of capital K	7.5%	8.0%	8.5%	9.0%	9.5%	10.0%
1.0%	48	44	41	38	35	32
1.5%	52	47	43	40	37	34
2.0%	56	51	46	**42**	39	36
2.5%	61	55	50	45	41	38
3.0%	67	60	54	48	44	40

Source: team DCF model. Share price €34.47: every cell with K ≤ 9.5% and g ≥ 1.5% is above the price.

Every cell with K ≤ 9.5% and g ≥ 1.5% is above €34.47. The terminal value is 68% of EV – normal for a distributor with 2% perpetual growth, which makes K and g the two numbers to challenge: ±50 bp of WACC moves the value by about €4 per share.

Model: DCF sheet, valuation date 30 Oct 2026, full-year 2026 FCF discounted 0.17 year. Net debt at 30 June 2026 less the €500m capital increase.

LBO-style bid – a sponsor buys 100% through a holding financed 48% with debt, exits after three years

Investment fund

Equity €6,075m (52% of sources) – required IRR 20%, 3-year hold, exit at the entry multiple of 10.3x EBIT.

NewCo – acquisition debt €5,518m (4.0x EBITDAaL 2026e)

Senior A €2,759m (50%), Euribor 2.2% + 2.75% + 0.5% swap = 5.45%, amortising over 7 years
Senior B €1,931m (35%), 5.95%, bullet 8 years · Junior C €828m (15%), 8.70%, bullet 9 years
Tax consolidation: acquisition interest offsets Rexel's taxable income; 100% of net income upstreamed.

Rexel – 100% acquired at €11,593m (€37.6 per share)

Existing net financial debt €2,822m stays in the target: total leverage 6.0x EBITDAaL at entry, in line with large-cap LBO practice.

Sources €11,593m = fund equity 6,075 + Senior A 2,759 + Senior B 1,931 + Junior C 828.
Uses = purchase of 100% of the equity.

Model: LBO sheet (course method, Part 5). Rexel's plan: consensus 2026–28 then soft landing; interest on its own debt at 5.6%. Euribor 6M 2.2% to verify.

Acquisition debt schedule (€m)

	2026	2027	2028	2029
Senior A outstanding (year-end)	2,759	2,365	1,971	1,577
amortisation		(394)	(394)	(394)
interest at 5.45% on average balance		140	118	97
Senior B €1,931m bullet – interest at 5.95%		115	115	115
Junior C €828m bullet – interest at 8.70%		72	72	72
Total acquisition interest		**327**	**305**	**284**

Holding income statement and cash (€m)

	2027	2028	2029
Dividend received (100% of Rexel net income)	954	1,040	1,080
– Tax on dividend (5% × 27%)	(13)	(14)	(15)
+ Rexel's own tax, now paid at group level	353	385	399
– Interest on acquisition debt	(327)	(305)	(284)
– Tax of the fiscal group (27% × (EBT – interest))	(265)	(302)	(323)
= Holding net income	**703**	**803**	**858**
Cumulative cash after Senior A amortisation (394 p.a.)	**309**	**718**	**1,182**

LBO result – a fund can bid at most €37.6 per share for a 20% IRR: a 9% premium, too thin for a public-to-private

Returns and maximum bid

	€m
Rexel EBITA 2029e (consensus + soft landing)	1,667
× Entry multiple: EV at market 13,222 ÷ EBITA 2026e 1,305	10.3x
= Enterprise value at exit (2029)	**17,186**
– Rexel net debt 2029 (3,535) – holding debt (4,336) + cash (1,182)	(6,688)
= Equity value at exit	**10,498**
÷ $(1 + 20\%)^3$ = fund equity at entry	6,075
+ Acquisition debt	5,518
= Maximum price for 100% of the equity	**11,593**
÷ 308.5m shares = bid per share	**€37.6**
Premium vs €34.47 / money multiple / equity share	**+9% / 1.73x / 52%**

Sensitivity of the bid (€ per share)

IRR \ acquisition debt	3.5x	4.0x	4.5x	5.0x
15%	39.7	40.3	40.8	41.4
20%	**36.8**	**37.6**	**38.4**	**39.1**
25%	34.4	35.3	36.3	37.2

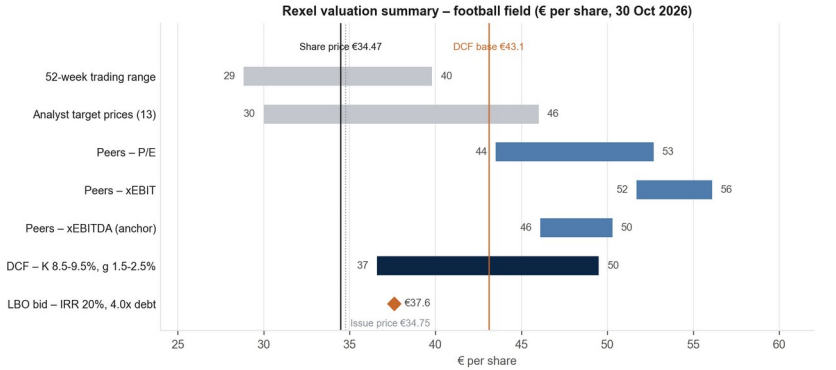
Exit multiple (xEBIT), 4.0x / 20%	9.0x	10.3x	11.0x	12.0x
Bid per share	33.5	37.6	39.7	42.9

Holding period at 20% IRR	3 years	5 years
Bid per share	37.6	35.3

- Only a re-rating at exit (12x EBIT) or a 15% return target gets a sponsor above €40: the exit multiple, not leverage, sets the ceiling.
- With 6.0x total leverage and Ba1/BB+ ratings already, more aggressive financing is not credible; a longer hold lowers the bid.
- Conclusion: an LBO at a normal 25–30% premium (€43–45) is not feasible. The stock is cheap for a long-term holder or a strategic buyer (Sonepar, Wesco) who can pay for synergies.

Model: LBO sheet and sensitivity replica. Interest on opening net debt; dividend tax 5% × 27%; Rexel net debt rises in the plan because 100% of income is upstreamed.

Interpretation – the methods are consistent with each other and with the sell-side; the market is the outlier



Source: team model (Comps, DCF, LBO sheets), Yahoo Finance targets. Peers: Wesco, Grainger, Ferguson, Watsco, Bunzl (median to average). xSales omitted (not meaningful: margin gap).

Consistency checks

- DCF (€43) sits inside the analyst range (€30–46, mean €41.9) and just below the peer xEBITDA band (€46–50): intrinsic and relative values agree.
- The share price implies a 10% WACC at 2% growth, or 9.8x EBITDAaL 2026e – outside Rexel's own range and the peers'.
- The LBO model implies a maximum bid of €37.6 per share for a financial buyer targeting a 20% IRR, providing an additional valuation reference rather than a guaranteed downside floor.
- Peer FY+1 EBITDA/EBIT are proxies (consensus revenue × LTM margin); the median is used to limit sample bias.

Scenarios (€ per share)

	Bear	Base	Bull
DCF: K / g	9.5% / 1.5%	8.9% / 2.0%	8.5% / 2.5%
DCF value	36.6	43.1	49.5
Peers xEBITDA	46.1 (LTM median)	48.4 (FY+1 median)	50.3 (FY+1 average)
LBO bid (20% IRR)	35.3 (5-year hold)	37.6	42.9 (12x exit)
Upside vs €34.47	**+2% to +34%**	**+9% to +40%**	**+24% to +46%**

Model: Summary, DCF and LBO sheets; Rexel Q3 2026 presentation; Trading Economics.

What would change the answer

Risk	Impact	Watch item
US cycle, data-centre concentration (13% of US sales)	2028 margin 6.5% vs 7.0%: c.–€3	Backlog $3bn (+42%)
GCG integration ($1.4bn, closing end-2026)	< 8x only post synergies	Leverage 2.0x from 2027
Copper and pricing (cables 16% of sales)	Non-recurring margin swings	Monthly copper effect
French sovereign spread (OAT 4.97%)	+50 bp WACC ≈ –€4	51% of sales in NA

Investment recommendation – BUY: acquire a stake, target €43–46 per share (+25% to +35%)

Thesis

- Best operating momentum since 2022: +11.4% same-day growth, guidance raised twice, margin on the way to 7%.
- Valuation gap: 9.8x EBITDAaL vs 13–14x for US distributors, with the same margin as Wesco.
- Balance sheet funded: the €500m raise keeps leverage at c.2.0x from 2027 while GCG adds a c.11%-margin platform.

Catalysts

- GCG closing by year-end and first synergy guidance.
- FY 2026 results (February 2027): delivery of the ≥6.4% margin and 2027 outlook including GCG.
- Consensus upgrades: the October consensus predates the Q3 beat and the guidance raise.
- Share price below the €34.75 placement: institutional support at that level.

Risks

- US data-centre cycle and tougher comparables in Q4 2026.
- GCG integration and synergy delivery; execution of four acquisitions in one year.
- Copper, pricing and European macro; French sovereign spread lifting the cost of capital.
- Stop-loss logic: a 2028 margin below 6.5% removes most of the upside.

Sizing: we recommend acquiring a long-term equity stake at the current market price (€34.47), targeting €43–46 per share (+25% to +35%). The LBO-implied maximum bid of €37.6 provides an additional valuation reference, not a guaranteed downside floor.

Sources: Rexel releases and financial statements 2025–26; Rexel broker consensus (15 Oct 2026); Yahoo Finance; Trading Economics; Damodaran; Electrical Wholesaling. Model: github.com/marwanferreira/rexel-valuation

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